

Revenue Model Support

Question 1: What is the definition of "Over-Trading" provided in the presentation?

Answer: Over-trading is the term used to describe funding growth primarily via debt.

Key Point: The primary problem is not necessarily the use of the debt itself, but a lack of previously retained profits resulting in an imbalanced debt/equity ratio, or using debt to fund fixed assets purely in the hope it leads to increased future sales.

Question 2: According to the "Sweet Spot" concept, what three financial and operational ratios need to be balanced?

Answer: The sweet spot is the balance of Debt to Assets, Non-Chargeable to Chargeable Staff, and Fixed Capital to Working Capital.

Key Point: To understand financial management is to understand business scale. Finding this balance helps assess if the business is meeting demand by better utilizing existing assets rather than unnecessarily increasing debt.

Question 3: What are the "3 Pillars of Financial Management"?

Answer: The three pillars are Assumptions/Targets (Scenario Model), Financial Systems & Controls, and Performance/Actual (Reporting).

Key Point: Quality management reporting relies on quality systems, and quality systems rely on quality models. If a business does not plan to make changes or find better ways of doing things, they rely on luck rather than management reporting.

Question 4: What is the specific role of the advisor or facilitator during the collaborative planning session?

Answer: Their role is to challenge what the business owner believes to be true.

Key Point: The objective of the meeting is to "Discover What We've Been Missing," which requires the client to explore issues and ideas with an open heart and an open mind.

Question 5: What common psychological trap is described as a "killer" when dealing with business model principles?

Answer: Confirmation bias is a killer.

Key Point: Assumptions MUST be challenged constantly because everything changes over time, and foundational assumptions in a business are often invisible.

Question 6: What business tool is described as the strategic equivalent of a double-blind (placebo) scientific study?

Answer: A Revenue Model (Combined With The 6 Hats Framework).

Key Point: Just as a double-blind study avoids confirmation bias for a scientific researcher, utilizing a structured revenue model framework strategically helps business owners avoid confirmation bias in their planning.

Question 7: What is the easiest way to see if increased debt for a proposed new business scale is justifiable?

Answer: Perform a 'Liquidation Value Estimate' on the proposed new business scale.

Key Point: Owners should ask themselves what increase in sales is required to pay back the debt, how easily they can scale back down if necessary, and what existing equity they are placing at risk with the new scale.

Question 8: What are the six components of the "Lite Fundamentals"?

Answer: The six components are Planning, Data, Marketing, Selling, People, and Process.

Key Point: These components are systematically grouped into three sequential stages of execution: Get Organised, Get the Job, and Do the Job.

Question 9: Why does funding "low-recoverable" assets like a shop fit-out mislead a business owner in assessing their true financial position?

Answer: While leasehold improvements appear positively on the balance sheet, they mask the true financial vulnerability if sales end up being negative.

Key Point: Increased debt applied to non-liquid assets in the hope that demand prevails can be highly dangerous; a scale-up should ideally utilize existing assets better to meet proven demand.

Question 10: Within the Lite Fundamentals framework, what four specific areas are analyzed under the "Process" component?

Answer: People Effectiveness, Reliability / Consistency, Systems interdependency, and Business Improvements.

Key Point: A system is defined as a complex whole of interconnecting parts; aligning these process areas ensures better outputs like job timeliness, job accuracy, and reduced wastage.

Working With Revenue Models

Question 11: What are the three concepts provided to support your framing when presenting revenue models to a client?

Answer: 1. Manage their Emotional Flow, 2. Establish CONTEXT, and 3. Appeal to all 4 Processing styles (Activist, Pragmatist, Reflector, Theorist).

Key Point: Proper framing flips the client's mindset from emotional judgment to recognition and soft education, making them receptive to the model's insights.

Question 12: When creating a "Disturbance" to let clients 'see' a reason to act, which models or reports should be used?

Answer: Use the Volatility Model if the issues are sales-related, otherwise use a Profit or Debt based Dashboard Report.

Key Point: Visual disturbance helps overcome a lack of motivation by providing tangible, alarming metrics that justify immediate strategic changes.

Question 13: What is the "1st User Tip" given for presenting the tool to a client?

Answer: It's a Scenario Model, NOT a report!.

Key Point: A model is used to explore "what if" variables and drive strategic discovery, distinguishing it from static, past-facing performance reporting.

Question 14: If a client's awareness and motivation are both "Low" (making them Bearish), which reveal tactic must be applied?

Answer: Apply the 'Cautious' Reveal Order.

Key Point: The client has to WANT what the model can do for them BEFORE they will invest the 'mental energy' to comprehend its complexity; showing the model too early will cause them to 'switch off'.

Question 15: In the Cautious Reveal Order, what concepts are referred to as 'The Carrot' and 'The Stick'?

Answer: 'The Carrot' refers to the Profit 'Sweet-Spot' (Profit Plateau Levels), and 'The Stick' refers to throwing in the Effects of Discounting or creating Disturbance using the Volatility report.

Key Point: This sequence warms the client up by first showing them the goal (the carrot) and then highlighting the dangers of their current path (the stick) before revealing the base model.

Question 16: What specific question is recommended to initiate the "WHY Frame" in the 'Trial Fit' Reveal Order?

Answer: "Have you ever purchased a tailored suit/ dress?".

Key Point: This relatable question helps explain the custom nature of the revenue model process, shifting the client from emotional resistance to recognizing the value of a personalized approach.

Question 17: Why does high volatility support the need for a revenue model?

Answer: Because it highlights the effects of the business procedures that influence cash volatility, such as Admin, Product Review, Marketing, or Financial Management.

Key Point: If a business is highly volatile, it serves as an outcome to try to reduce or avoid, proving to the client that their current systems are unstable and require modeling to fix.

Question 18: What does the presentation technique of "Drop Layering" entail?

Answer: Drop Layering is knowing the logical 'layers' of your concept and being prepared to 'skip' a layer (or more) if it's clear your client already comprehends what you're explaining.

Key Point: To execute this effectively, the advisor must identify key principles and actively seek acknowledgment of them from the client to ensure full comprehension before moving deeper.

Question 19: How can you "Bounce" a Drop Layer to control how a revenue model is revealed?

Answer: You can 'bounce' by dropping down to a specific data point momentarily to draw attention to a specific variable, before zooming back up to a global level.

Key Point: This is a highly effective way to 'control the reveal' by focusing on micro-actions without overwhelming the client or losing the macro global vision.

Question 20: How is "Home-work" used to secure ongoing management reporting work after a meeting?

Answer: The advisor asks the client to go away and think about what KPIs they want to see, how often they'd like to see them, and what variables need to be crunched based on estimates (like top/bottom 5 jobs or good/bad/ugly variables).

Key Point: Framing the 'Go Forward' this way invites the client to actively collaborate on the service solution, ensuring the eventual proposal is built exactly around what they want and proving their motivation to act.